

not have a human being behind the website which meant that the customer had to accept that if anything did go wrong, there was no 'collar' that could be grabbed.

Payment problems

While majority of e-commerce enterprises globally operated through PayPal or credit card payments, this was not possible in India where more than 90% of retail transactions are made in cash. In addition to that, prior to the economic boom of the 2000s in India, penetration of credit cards was low within the market and customers did not even own debit cards. This meant that even though there were customers willing to take the risk of buying products from a new portal, the inability to complete the purchase was another obstacle that the customer had to overcome. This problem has not diminished in India even today where even though a huge proportion of customers have credit and debit cards, the perception that cash transactions are safer than those done online prevails widely.

To overcome these problems, there are some features unique to the Indian market that have been developed:

1. **Cash on Delivery** – Introduced widely in the Indian market to overcome customers' risk of paying for un-seen and potentially un-delivered products upfront. In this model, while the customer places the order on the internet they only have to pay for it when it is delivered to your doorstep in a similar way to the delivery service model of pizza outlets worldwide.
2. **In-house hiring of delivery staff** – Flipkart, which was setup in 2007 are pioneers of jettisoning courier companies in favour of an in-house delivery service to overcome the risk associated with the product not reaching the customer on time or getting misplaced/damaged in transit. By not out-sourcing deliveries companies are able to control the last mile for deliveries which significantly decreases bottlenecks within the operations.

India Plaza – India's first e-commerce store

India got its first e-commerce store in the form of India Plaza in 1999, which then offered only music CDs for sale. Back then, India had less than 3 million users on the internet. Between February and October 2000, the website introduced many additional categories including movies, watches, books and groceries and in 2002 even went the way of brick and mortar by launching the first offline grocery store in Bangalore, India.